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LINE 9

26-CIV-02397 QUALITY LOAN SERVICE CORP VS. ALL CLAIMANTS TO SURPLUS FUNDS, ET AL.

QUALITY LOAN SERVICE CORP
ALL CLAIMANTS TO SURPLUS FUNDS

MATTHEW E PODMENIK

RESPONDENT RENEE HULAR'S CLAIM FOR SURPLUS FUNDS

PROVIDENT TRUST GROUP FBO IRA J. BOREN I.R.A.'S CLAIM FOR SURPLUS FUNDS

TENTATIVE RULING:

The Petition Regarding Undistributed Surplus Proceeds of Trustee's Sale from property located at 3371 Melendy Drive, San Carlos, CA, 94070, ("property") is ruled on as follows:

On March 26, 2026, Petitioner and Trustee Quality Loan Service Corporation ("Trustee") filed this Petition seeking to deposit surplus proceeds following a foreclosure sale of the property that took place on November 12, 2025. The Trustee foreclosed on a deed of trust executed by Richard Hular ("Richard") in 2005 in favor of Najarian Loans, Inc.

On April 28, 2026, the court ordered the Trustee to deposit surplus proceeds of \$1,248,712.12 with the court, and also ordered that it be discharged of further responsibility for the surplus proceeds.

Also, on April 28, 2026, the court sent a notice of hearing to all potential claimants notifying them of this hearing regarding distribution of the surplus proceeds. The court received two claims. On July 13, 2026, Renee Hular ("Renee") filed a claim for \$598,863.56 based on her status as a secured junior lienholder. The same day, Provident Trust Group FBO Ira J. Boren I.R.A. ("Boren") filed a claim objecting in part to Renee's claim and seeking the remainder of the surplus proceeds as the vested owner at the time of the Trustee's sale. No claim has been filed by Richard.

Surplus proceeds are to be distributed in the following order of priority:

- (1) To the costs and expenses of exercising the power of sale and of sale, including the payment of the trustee's fees and attorney's fees permitted pursuant to subdivision (b) of Section 2924d and subdivision (b) of this section.
 - (2) To the payment of the obligations secured by the deed of trust or mortgage which is the subject of the trustee's sale.
 - (3) To satisfy the outstanding balance of obligations secured by any junior liens or encumbrances in the order of their priority.
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(4) To the trustor or the trustor's successor in interest. In the event the property is sold or transferred to another, to the vested owner of record at the time of the trustee's sale.

(Civil Code § 2924k, subd. (a).)

Each claimant in a dispute under Civil Code section 2924k has their own burden to prove each fact essential to their claim. (*MTC Financial Inc. v. California Dept. of Tax & Fee Administration* (2019) 41 Cal.App.5th 742, 749; Evid. Code, § 500.)

Renee's claim is granted.

The Court need not and does not rule on Boren's objections filed July 23, 2026 to the supplemental declaration of Nicholas Flegel because the court did not rely upon his declaration for the ruling.

The Trustee's Sale Guarantee attached to the Petition shows a junior lien recorded by Renee in 2017 for \$350,000. (Petition, Exh. 5.) This lien takes priority over Boren's claim as a vested owner of record at the time of the sale.

Renee provides a declaration stating that Richard never made any payments on the Installment Note. (Renee Decl., ¶ 4.) The Installment Note states that Richard agrees to pay Renee \$350,000 at the rate of 7% interest per annum. (*Id.*, Exh. A.) The note also provides that if obligated to institute legal action to enforce the note, the prevailing party shall recover attorney's fees and costs. (*Ibid.*) Thus, Renee seeks \$350,000 unpaid principal, \$228,666.67 interest through July 28, 2026, \$435 costs and \$19,761.89 in attorneys' fees for a total of \$598,863.56.

Boren argues that Renee's claim should be reduced to either \$164,000 or \$198,432.70 because Renee has not provided evidence showing she actually loaned Richard \$350,000. However, as Boren acknowledges, a written instrument is presumptive evidence of consideration. (Civil Code, § 1614.) Boren has not rebutted this presumptive evidence. Further, this action is distinguishable from *In re McConnell's Estate* (1936) 6 Cal.2d 493, 499-500. In that case, the respondent paid no consideration on the transfer of the note and the evidence conclusively established that the note was unsupported by consideration. (*Id.*, at p. 499.) In contrast, Renee produced documents showing that she advanced funds to Richard at various times. (Rene Decl., ¶ 2, Exh. A, B.)

Boren also challenges the interest and attorney's fees incurred after the Trustee's sale. Boren relies on Civil Code section 2924j which provides that a written claim to the trustee include the "amount of the claim to the date of the trustee's sale." (See Civil Code § 2924j, subd. (a)(4)(A).) Civil Code section 2924j(a) addresses notice that is required to be provided by a trustee regarding the surplus proceeds from the sale. Section 2924k, as set forth above, does not include such qualifying language. It provides for payment "[t]o satisfy the outstanding balance of obligations secured by an any junior liens or encumbrances in the order of their priority." (Civil Code, § 2924k(a)(3).) Thus, it instructs the proceeds be paid to satisfy the outstanding balance.

Accordingly, Renee's claim is GRANTED for \$598,863.56.

Boren's claim is denied.

Boren claims that he is entitled to the remainder of the surplus proceeds because he was the vested owner of record at the time of the Trustee's sale. However, he has failed to meet his burden of proof to demonstrate that he was the vested owner of record at the time of the Trustee's sale.

The Trustee's Sale Guarantee attached to the Petition shows that a deed of trust was recorded in 2019 in favor of Boren for a \$350,000 loan to Richard. Boren provides a copy of this note. (Brian Boren Decl., ¶ 4, and Exh. 1.) In 2021, Richard defaulted in making payments on the note. (*Id.*, at ¶ 10.) Boren instituted non-judicial foreclosure proceedings by recording a Substitution of Trustee and a Notice of Default in 2022. (*Id.*, at ¶ 11, and Exhs. 4 and 5.) These recorded documents are stated in the Trustee's Sale Guarantee, along with a Notice of Trustee's Sale recorded on October 28, 2022. Boren claims that it then entered into two Forbearance Agreements with Richard to avoid foreclosure. (*Id.*, at ¶ 12.) Under one of these agreements, Richard waived and released any claims arising out of the note and deed of trust if he defaulted under the Forbearance Agreements. (*Ibid.*) Boren has not provided a copy of these Forbearance Agreements though, Boren demonstrates no personal knowledge of the transaction and provides no facts to support the contentions.

Boren then states that it foreclosed on its lien by credit bid at a foreclosure sale on July 30, 2025. (Boren Decl., ¶ 12.) The Trustee's Deed Upon Sale was recorded on September 18, 2025. (*Id.*, at ¶ 12, and Exh. 6.) Boren's Trustee's Deed Upon Sale shows up in the Trustee's Sale Guarantee as recorded the day after the Trustee recorded its Notice of Sale on September 17, 2025. Boren's sale of the property took place on September 17, 2025. However, the Trustee's Sale Guarantee does not show a Notice of Trustee's Sale recorded by Boren for this sale. Therefore, there is no evidence that Boren owned the property at the time of the Trustee's sale.

Thus, Boren's claim is DENIED.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Renee's counsel shall prepare a written order consistent with the Court's ruling for the Court's signature, pursuant to California Rules of Court, Rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

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LINE 10

26-CLJ-00102

WELLS FARGO BANK, N.A. VS FIDEL SIFUENTES

WELLS FARGO BANK, N.A.

FIDEL SIFUENTES

ANTHONY LIO

PRO SE

MOTION TO DEEM REQUESTS FOR ADMISSIONS ADMITTED AND OF NONAPPEARANCE

TENTATIVE RULING:

The court GRANTS plaintiff Wells Fargo Bank's unopposed motion to deem facts admitted against defendant Fidel Sifuentes.

On February 19, 2026, plaintiff served by mail defendant with requests for admissions. (Declaration of Kirean D. McKee, Ex. A.) More than thirty-five days have passed and there have been no responses. Accordingly, pursuant to Code of Civil Procedure section 2033.420, the court deems the requests admitted. Plaintiff shall attach the requests for admission to the proposed order.

Plaintiff did not request sanctions and thus none are awarded.

Plaintiff states in its papers that it submits on the moving papers.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for plaintiff shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.

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